MANG3054

Marketing in the Digital Age

3.

Segmentation, Targeting & Positioning in the Digital Age



Dr. Carmen Lopez

Module Structure

Week No.	Lecture Topic
1	Introduction: Traditional Marketing vs Digital Marketing
2	Marketing Environment in the Digital Age
3	Segmentation, Targeting, and Positioning in the Digital Age
4	Customer Engagement and Social Media
5	Content Marketing and Influencer Marketing
6	Consumer Behaviour and Customer Insight in the Digital Age
7	Search Marketing and Online Advertising
8	Email Marketing and Digital Customer Relationship Management
9	Online PR and Crisis Management
10	Marketing Research in the Digital Age
11	Ethics & The Future of Digital Marketing
12	Discussion Forum. Assignment Q&A

Why is this lecture relevant?



Structure for the assignment:

Title page

Introduction

A brief introduction to Popcorn Kitchen and the relevant UK industry.

(Roughly 300 words)

Digital challenges and opportunities

Overview of two key challenges and two key opportunities that Popcorn Kitchen faces in the digital age.

(Roughly 400 words)

Target market & Customer persona profile

Identify and justify the segment to target (e.g., demographics, behaviours, attitudes, motivations, brands, etc.). Based on this segment, create a persona profile (visual format) for Popcorn Kitchen in the UK. The persona profile should reflect an existing segment and be based on research. Justify your choices.

(Roughly 500 words)

Customer engagement: Conceptualisation and evaluation of strategies

Define customer engagement and its dimensions. Considering the customer persona, evaluate Popcorn Kitchen's digital marketing strategies (e.g., content development strategy, customer experience strategy, social media strategies, etc.) used in the UK to engage with customers in light of the digital customer literature. Practical observations and examples of Popcorn Kitchen's customer engagement should be used to justify the arguments.

(Roughly 1200 words)

Recommendations

Considering the existing literature/theories, and the customer engagement strategies discussed in the previous section, suggest recommendations for the business to enhance customer engagement. Recommendations should be realistic and suitable for implementation over the next 6-12 months and should reflect informed judgement rather than a descriptive list of digital tools or tactics. Be creative and justify your recommendations.

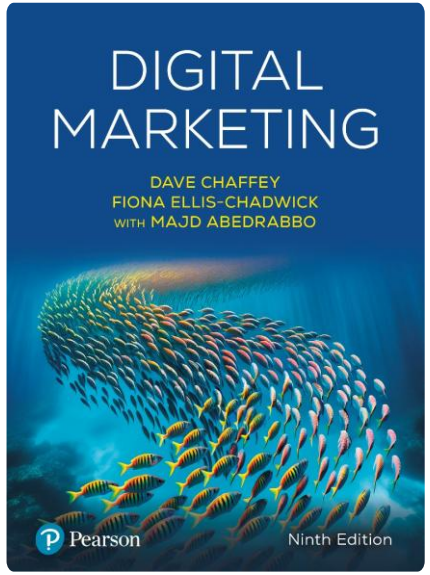
(Roughly 600 words)

References

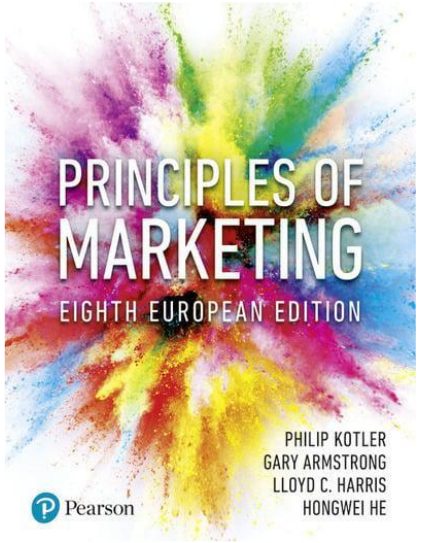
Appendix

Recommended Reading

Chapters 3, 4



Chapter 7



Agenda

- Strategic considerations in digital marketing
- STP
  - Segmentation
  - Targeting
  - Positioning
- Persona profile

SOSTAC Planning Framework

SOSTAC Planning Framework

WHERE ARE WE NOW?

HOW DO WE MONITOR PERFORMANCE

WHERE DO WE WANT TO BE?
(SMART objectives)



DETAILS OF TACTICS: WHO DOES WHAT AND WHEN

HOW DO WE GET THERE?

HOW EXACTLY DO WE GET THERE?

Digital marketing strategy

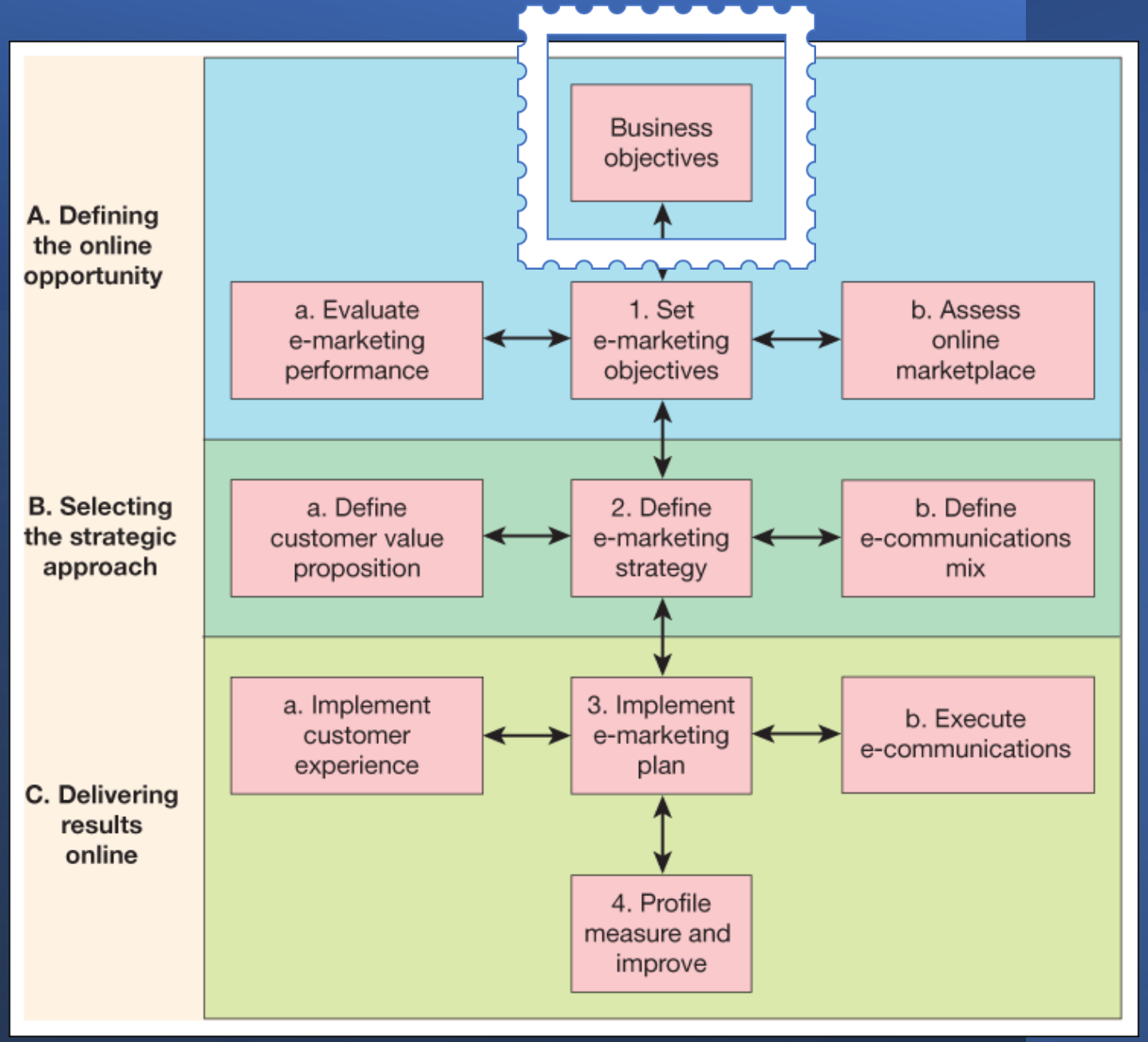
What is strategy?

What is strategy?

- Defines how we will meet our objectives
- Sets allocation of resources to meet goals
- Selects preferred strategic options to compete within a market
- Provides a long-term plan for the development of the organisation

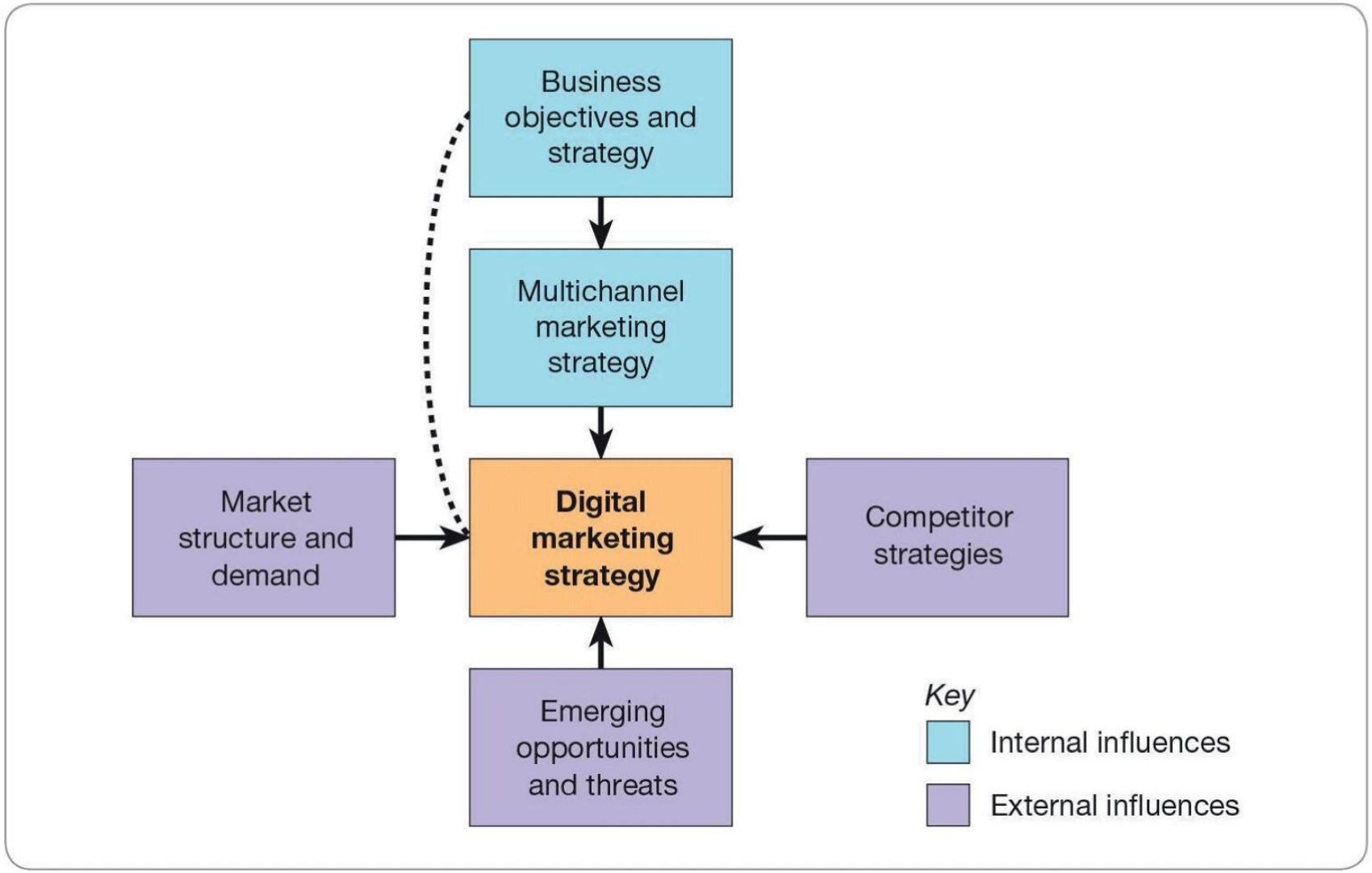
Source: Chaffey et al. (2025, p. 147)

A generic digital marketing strategy development process



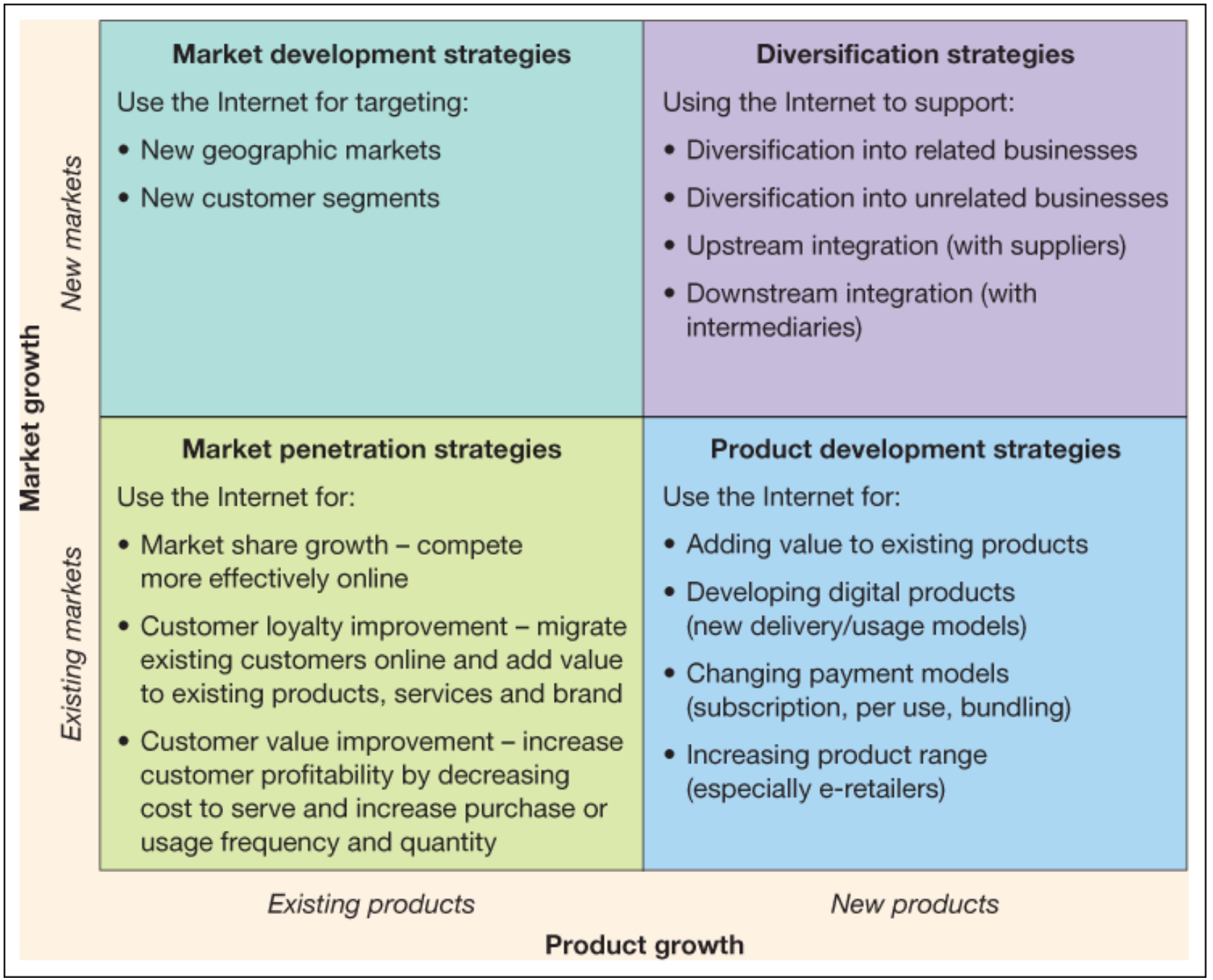
Source: Chaffey et al. (2025, p. 22)

Internal and external influences on digital marketing strategy



Source: Chaffey et al. (2025, p. 147)

Using the Internet to support growth strategies



Source: Chaffey et al. (2025, p. 174)



Harvard Business School Online

UNIVERSITY OF Southampton

Virgin

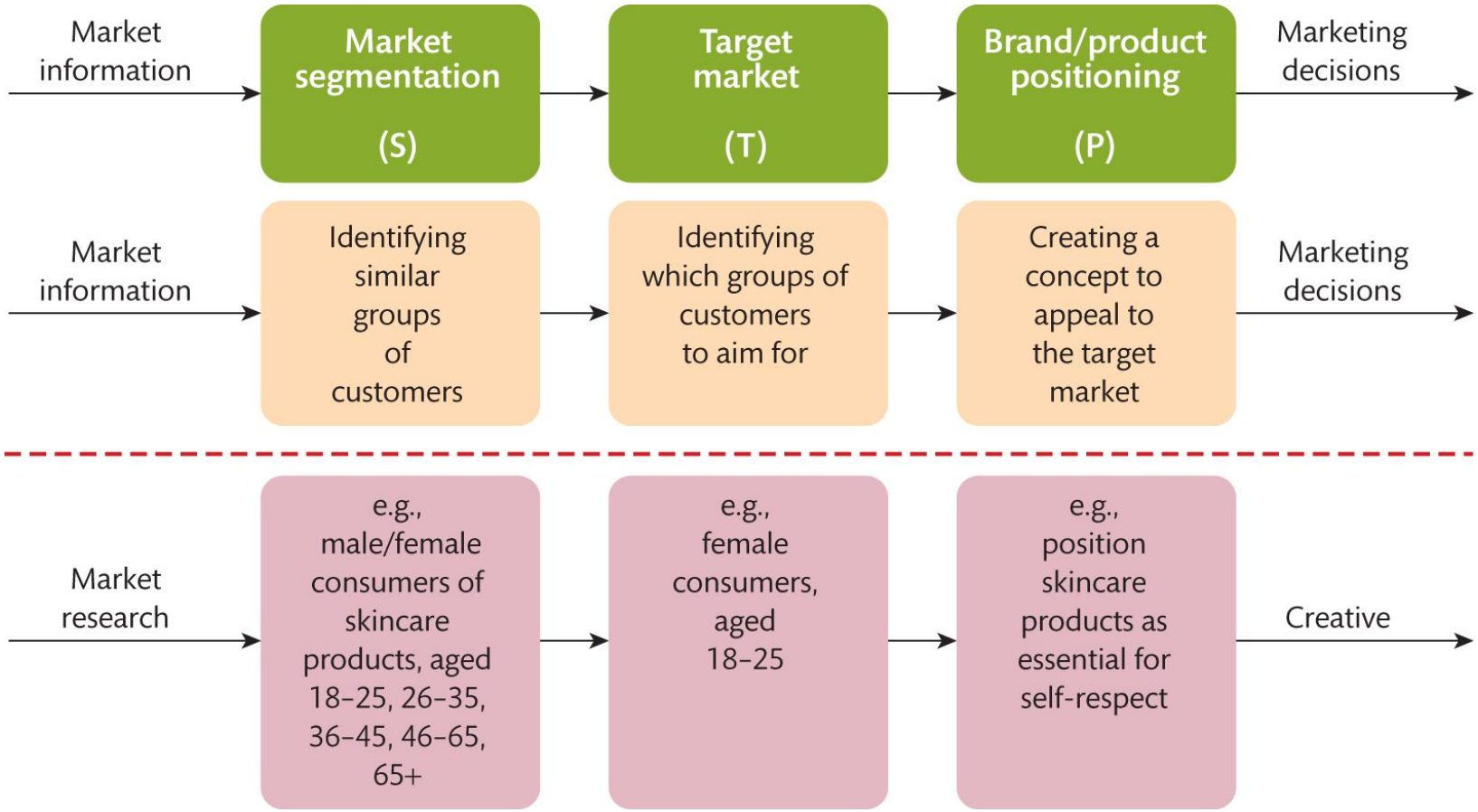


Market growth	Existing products	New products
New markets	**Market development strategies** Use the Internet for targeting: • New geographic markets • New customer segments	**Diversification strategies** Using the Internet to support: • Diversification into related businesses • Diversification into unrelated businesses • Upstream integration (with suppliers) • Downstream integration (with intermediaries)
Existing markets	**Market penetration strategies** Use the Internet for: • Market share growth – compete more effectively online • Customer loyalty improvement – migrate existing customers online and add value to existing products, services and brand • Customer value improvement – increase customer profitability by decreasing cost to serve and increase purchase or usage frequency and quantity	**Product development strategies** Use the Internet for: • Adding value to existing products • Developing digital products (new delivery/usage models) • Changing payment models (subscription, per use, bundling) • Increasing product range (especially e-retailers)
		Product growth

Source: Chaffey et al. (2025, p. 174)

Segmentation, Targeting & Positioning (STP)

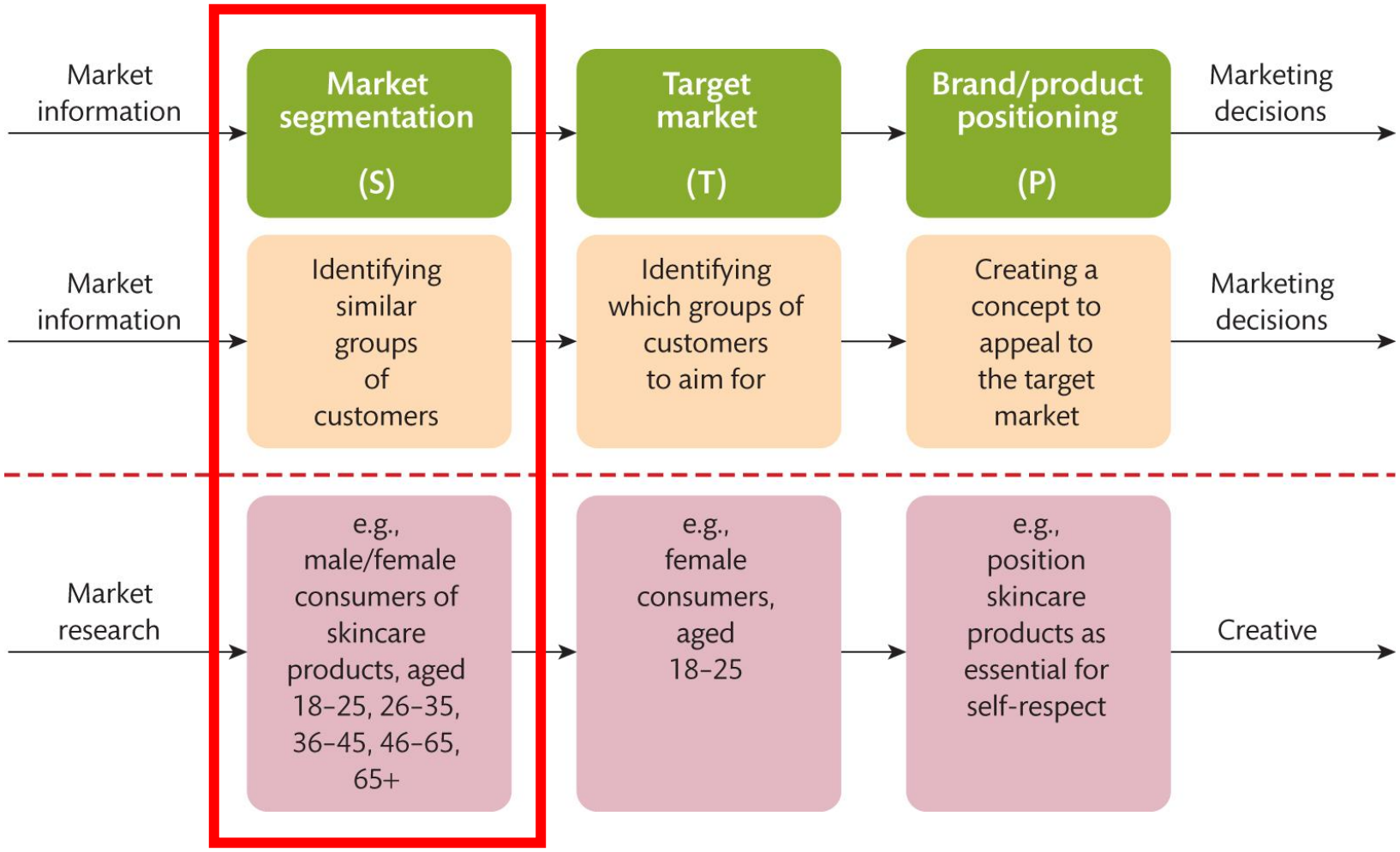
Segmentation, Targeting, Positioning





Segmentation

Segmentation



Segmentation – Definition

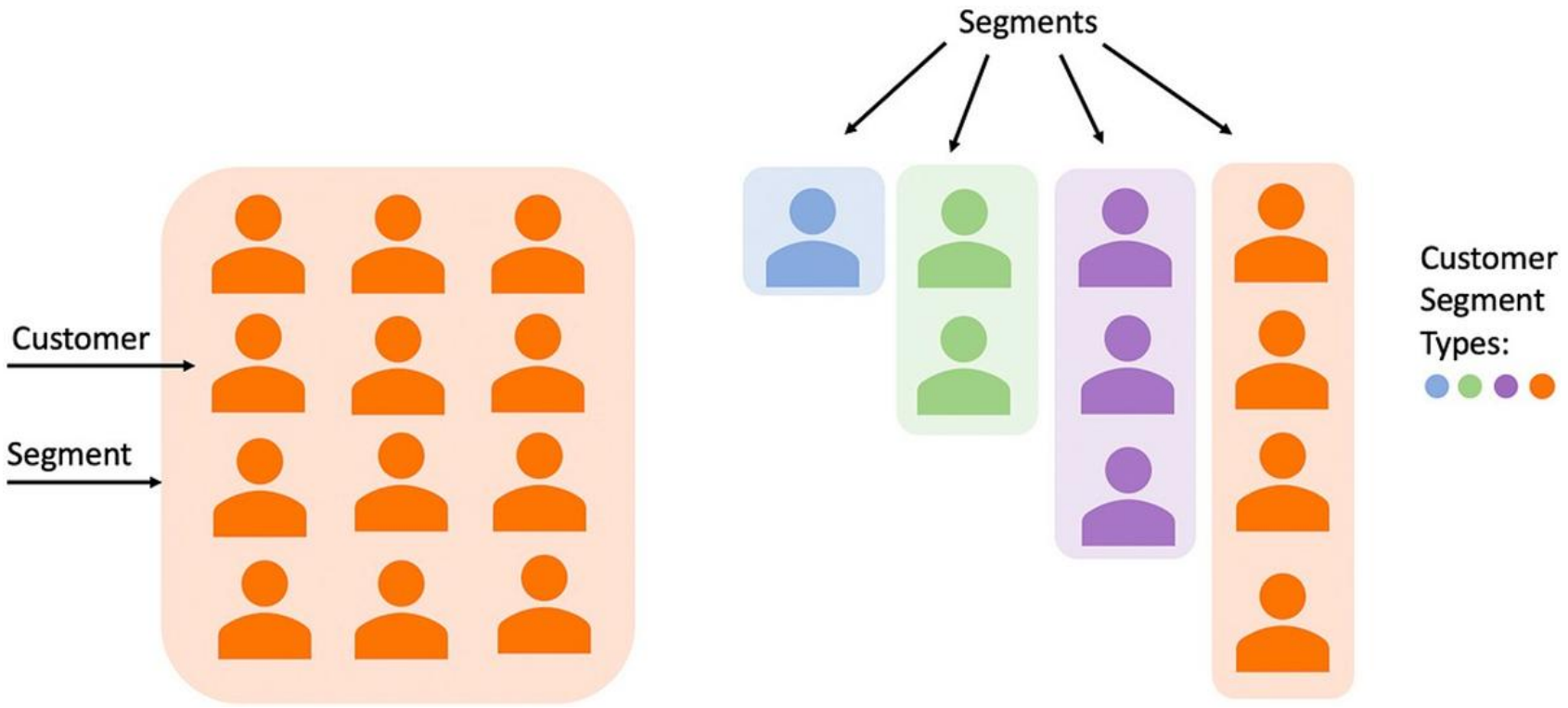
MARKET SEGMENTATION

The process of dividing a market into smaller, identifiable and distinct groups or segments, each with common characteristics and needs and responds similarly to marketing actions.



Source: Kotler et al (2020); Baines et al. (2013)

Segmentation - Benefits



Optimised use of resources

Marketing mix that meets the needs of different groups

Able to deliver more relevant and tailored content

Improved customer experiences

Increased engagement

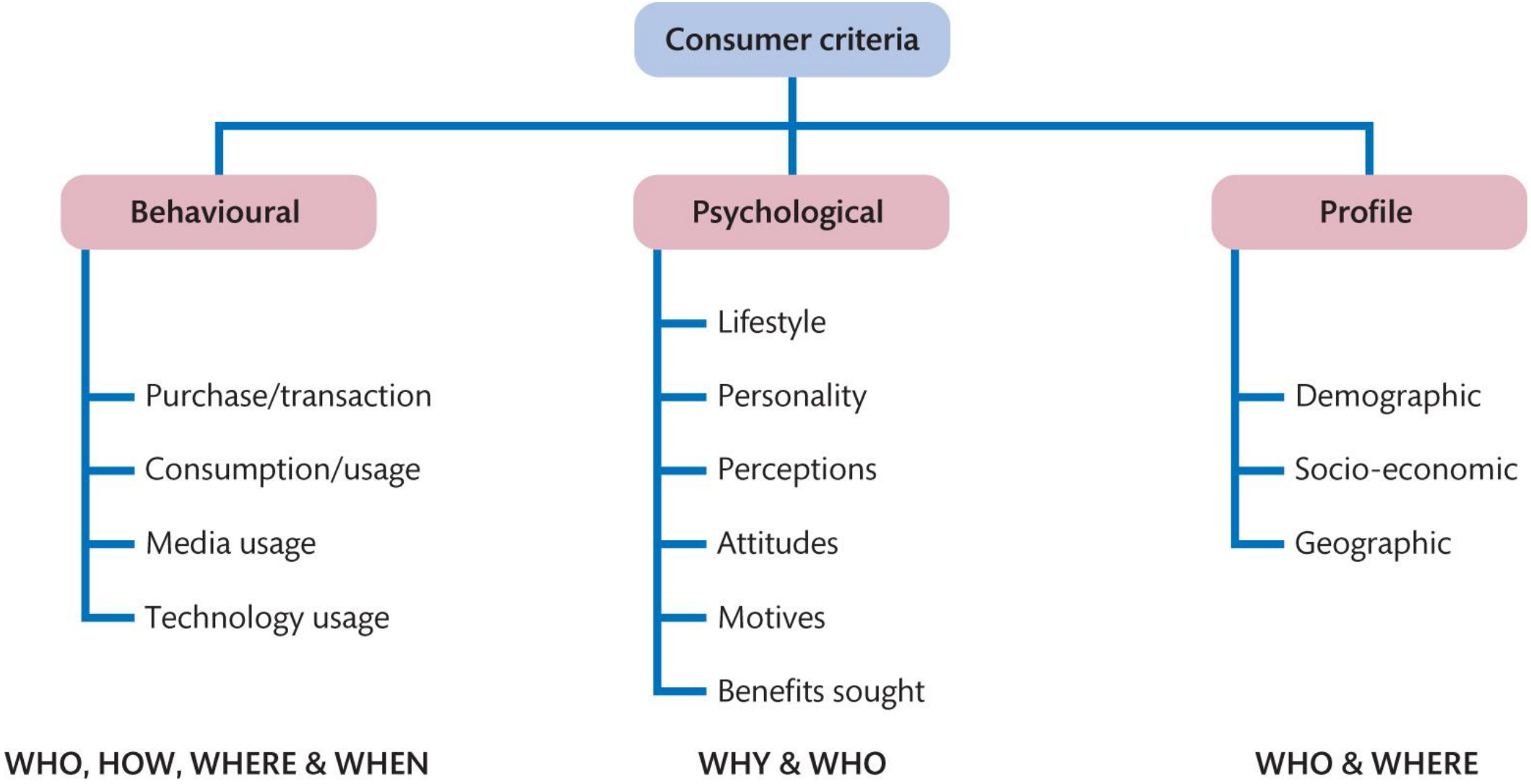
Source: Kotler et al (2020); Baines et al. (2013)

Bases for segmenting consumer markets

To segment consumer markets, we use market information on certain variables.

- These are classified as segmentation bases/criteria:
  1. Profile Criteria – who are my customers and where are they?
  2. Psychological Criteria – why do my customers behave that way?
  3. Behavioural Criteria – where, when and how do my customers behave?

Bases for segmenting consumer markets



Segmenting Criteria: Profile

Who are my customers and where are they?

Base type	Segmentation criterion	Explanation
Profile	Demographic	Key variables concern age, sex, occupation, level of education, religion, social class, and income characteristics.
	Lifestage	Based on the principle that people need different products and services at different stages in their lives (e.g. childhood, adulthood, young couples, retired).
	Geographic	The needs of potential customers in one geographic area are often different from those in another area, as a result of climate, custom, or tradition.
	Geodemographic	There is a relationship between the type of housing and location in which people live and their purchasing behaviours.

Segmenting Criteria: Psychological

Why do my customers behave that way?

Psychological	**Psychographic (lifestyles)**	Analysing consumers' activities, interests, and opinions, we can understand individual lifestyles and patterns of behaviour that affect their buying behaviour and decision-making processes.
	Benefits sought	The motivations that customers have for making purchases provide an insight into the benefits that they seek from product use.

Segmenting Criteria: Behavioural

Where, when and how do my customers behave?

Behavioural	Purchase/ transaction	Data about customer purchases and transactions provides scope for analysing who buys what, when, how often, how much they spend, and through what transactional channel they purchase.
	Product usage	Segments can be derived on the basis of customer usage of the product offering, brand, or product category. This may be in the form of usage frequency, time of usage, and usage situations.
	Media usage	What media channels are used, by whom, when, where, and for how long provides useful insight into the reach potential for certain market segments through differing media channels, and also insight into their media lifestyle.

Segmentation – Effective segmentation criteria

For market segmentation to be effective, segments must be:

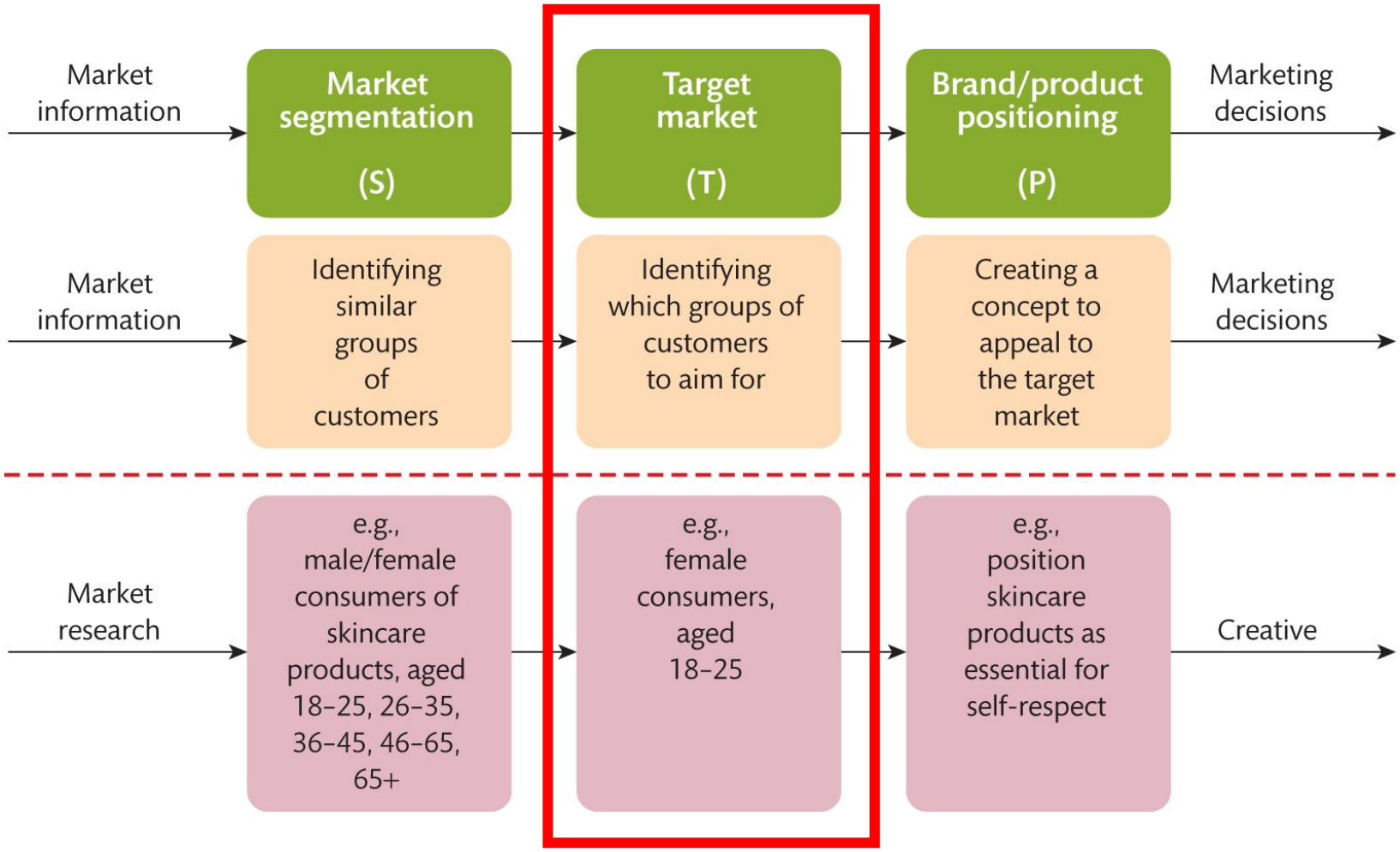
1. Distinct – is each segment clearly different from other segments?
2. Accessible – can buyers be reached through appropriate (promotional) programmes or channels?
3. Measurable – is the segment easy to identify and measure?
4. Profitable – is the segment sufficiently large to provide a stream of constant future revenues and profits?

Source: Kotler et al. (2020)



Targeting

Targeting



Source: Kotler et al. (2020, p. 199)

Targeting

The selection of one or more of the segments that the firm chooses to serve → **TARGET MARKET**

CUSTOMER (BUYER) PERSONA



Targeting – Steps

It involves three steps:

1. Evaluating market segments considering segment size and growth, segment profitability, company objectives and resources.

2. Selecting target market segment(s) that the company decides to serve.

3. Select targeting strategy: undifferentiated (mass marketing), differentiated, concentrated, individualised/customised (micromarketing).

Source: Kotler et al. (2020)

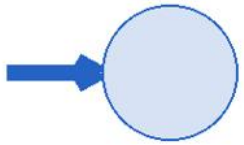
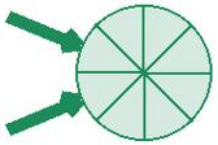
Targeting Strategies

- Four approaches can be considered:

1. Undifferentiated
2. Differentiated
3. Concentrated
4. Customized



The Four Types of Targeting Strategies in Marketing

Undifferentiated marketing (mass marketing)	Differentiated marketing (segmented marketing)	Concentrated marketing (niche marketing)	Micromarketing
			
Entire mass of the market is perceived to be the target customer	Certain market segments are targeted with dedicated strategies	A smaller, specific subset of the larger market is targeted	An individual or a specific location is targeted

Targeting broadly → Targeting narrowly

Source: Marketing Insider (2023)

Limited Segment Differentiation

Undifferentiated Targeting



Differentiated Targeting

Several Attractive Market Segments





Niche Marketing

Concentrated Targeting





Customised
Targeting
(Micromarketing)

Bespoke Rolls-Royce



Customer (buyer) persona

Customer (buyer) persona

Clark Andrews

AGE 26
OCCUPATION Software Developer
STATUS Single
LOCATION San Jose, CA
TIER Experiment Hacker
ARCHETYPE The Computer Nerd

Friendly | Clever | Go-Getter



"I feel like there's a smarter way for me to transition into a healthier lifestyle."

Motivations

- Incentive
- Fear
- Achievement
- Growth
- Power
- Social

Goals

- To cut down on unhealthy eating and drinking habits
- To measure multiple aspects of life more scientifically
- To set goals and see and make positive impacts on his life

Frustrations

- Unfamiliar with wearable technology
- Saturated tracking market
- Manual tracking is too time consuming

Bio

Aaron is a systems software developer, a "data junkie" and for the past couple years, has been very interested in tracking aspects of his health and performance. Aaron wants to track his mood, happiness, sleep quality and how his eating and exercise habits affects his well being. Although he only drinks occasionally with friends on the weekend, he would like to cut down on alcohol intake.

Personality

Extrovert — Introvert
Sensing — Intuition
Thinking — Feeling
Judging — Perceiving

Technology

IT & Internet
Software
Mobile Apps
Social Networks

Brands

Customer (buyer) persona – What is a persona?

- ✓ Fictional, yet realistic, profile.
- ✓ A detailed representation of a typical consumer in the target audience.
- ✓ Description of the characteristics, needs, motivations, behaviour of a type of person in the real world: the ideal customer.
- ✓ Personas bring the target audience to life.



For each product, more than one persona is usually created but one persona should be the primary focus

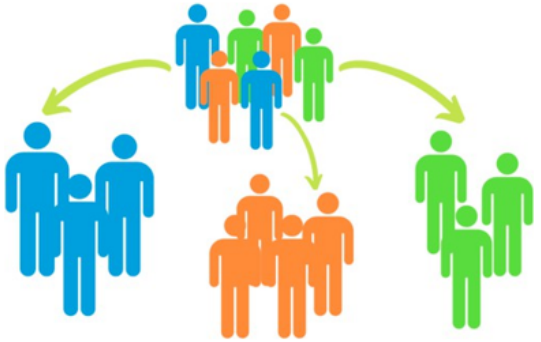
Source: Chaffey and Ellis-Chadwick (2022)

Segmentation vs. Persona

Market Segmentation

Segmentation refers to the process of dividing audiences into distinct groups based on specific criteria.

An identified segment will contain ***a group people of shared characteristics***



Customer Persona

A customer persona is a fictional representation of an 'ideal customer'. It includes demographic information, behaviors, preferences, goals, challenges, and other relevant characteristics.

A customer persona is a fictitious representation of ***one singular individual of a specific archetype***



Customer (buyer) persona – Key questions to develop it

Personal

- What is the age of your person?
- What is the gender of your person?
- What is the highest level of education this person has received?
- Where are they from?
- Etc.

Professional

- How much work experience does your person have?
- What is your person's professional background?
- Why will they come to/use the product/service? (User needs, interests, and goals)
- Where (or from whom) else is this person getting information about your issue or similar programs or services?
- When and where will users access the product/service? (User environment and context)

Objectives

- What does your ideal customer want to achieve by interacting with the company?

Technical

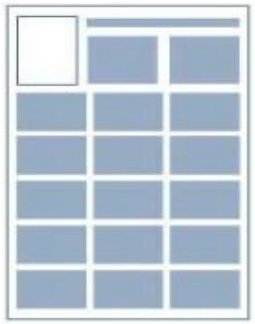
- What technological devices/online platforms does your person use on a regular basis?
- What software and/or applications does your person use on a regular basis?
- Through what technological device does your user primarily access the web for information?
- How much time does your person spend browsing the web every day?

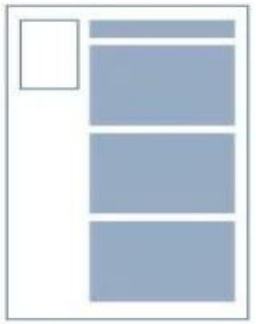
User motivation

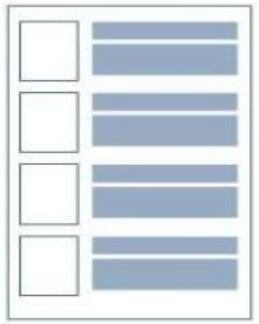
- What is your person motivated by?
- What are they looking for?
- What is your person looking to do?
- What are their needs?

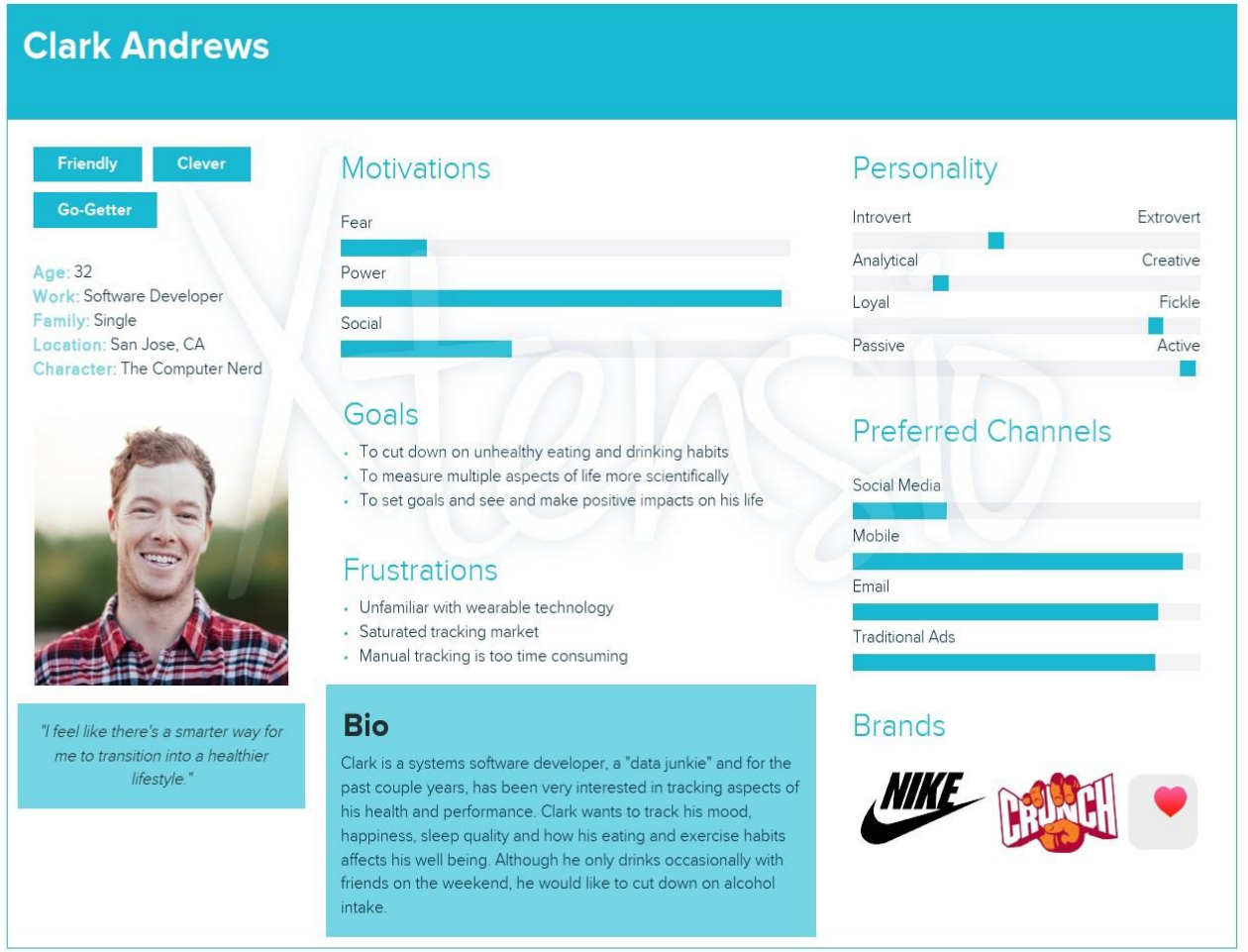
Customer (buyer) persona – Elements of a persona

- Persona Group
- Fictional name
- Job titles and major responsibilities
- Demographics such as age, education, ethnicity, and family status
- The goals and tasks they are trying to complete using the product/service
- Motivations for using the product/service
- Current pain points or frustrations
- A person's skills or technical ability and the devices they use and how often
- A quote that captures their attitude in general, or towards the website/service/product
- A short bio about their background
- Other brands or websites they like
- Casual pictures representing that user group









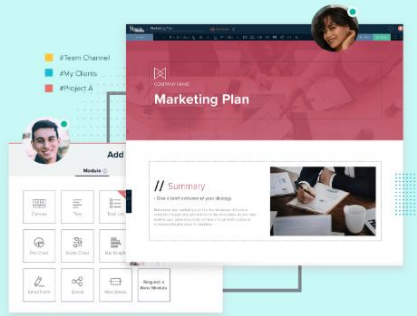
Customer (buyer) persona – Templates and examples

Xtensio Templates Integrations Customers Learn Pricing Book a Demo Sign In

Home | Templates | Marketing

Marketing Templates

Xtensio's marketing templates help you plan campaigns, pitch ideas, and share reports clearly and consistently. Create briefs, one-pagers, competitive analyses, and more—all fully customizable, on-brand, and ready to present or export. Work with your team in real time and keep everything organized in one flexible workspace.



✅ **366,413** users worldwide 🎯 On-brand exports 🤝 Team collaboration 🔒 Shareable live links

1 Pick a template. 2 Customize everything, together. 3 Deliver.

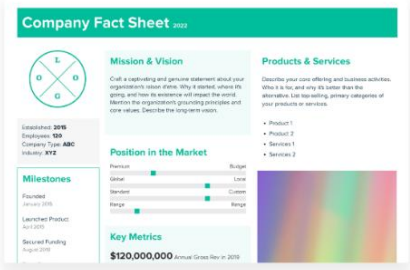
All | Brand Guidelines | Brand Positioning Canvas | Content Strategy | Customer Journey Map | Digital Brochure | Digital Marketing Canvas | Fact Sheet | Kanban Board | Landing

FREE instructional templates!

Learn Marketing with free resources and helpful guides.



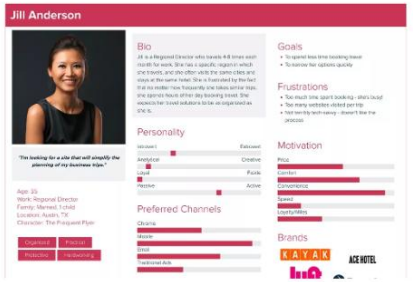
User Persona
Used 633430 times
Use Template



Fact Sheet
Used 34007 times
Use Template



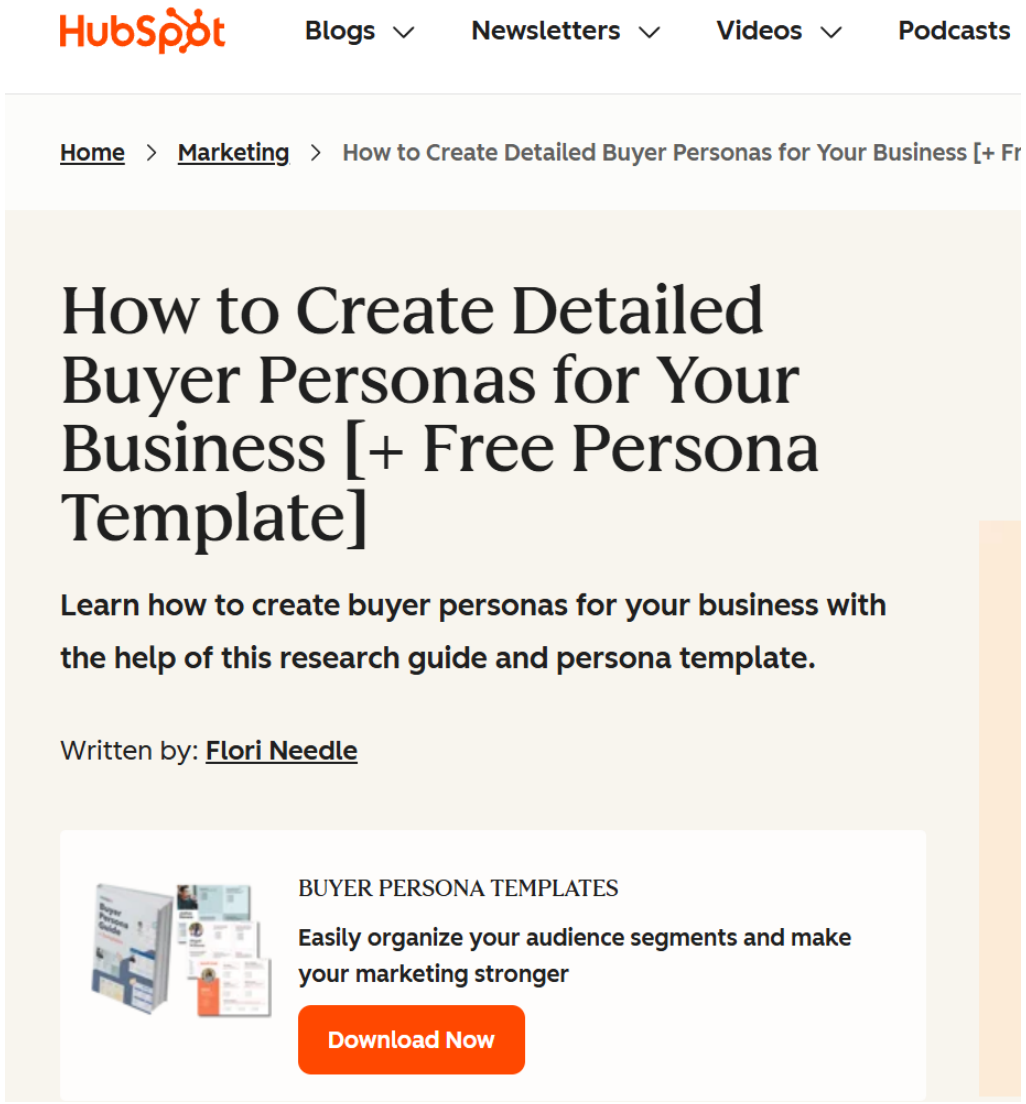
Software Developer Persona
Used 24103 times
Use Template



Traveler Persona
Used 24440 times
Use Template

https://xtensio.com/templates/marketing/

Customer (buyer) persona – Templates and examples



Resources that offer royalty free images of people:

unsplash.com
pexels.com

https://blog.hubspot.com/marketing/buyer-persona-research



Positioning

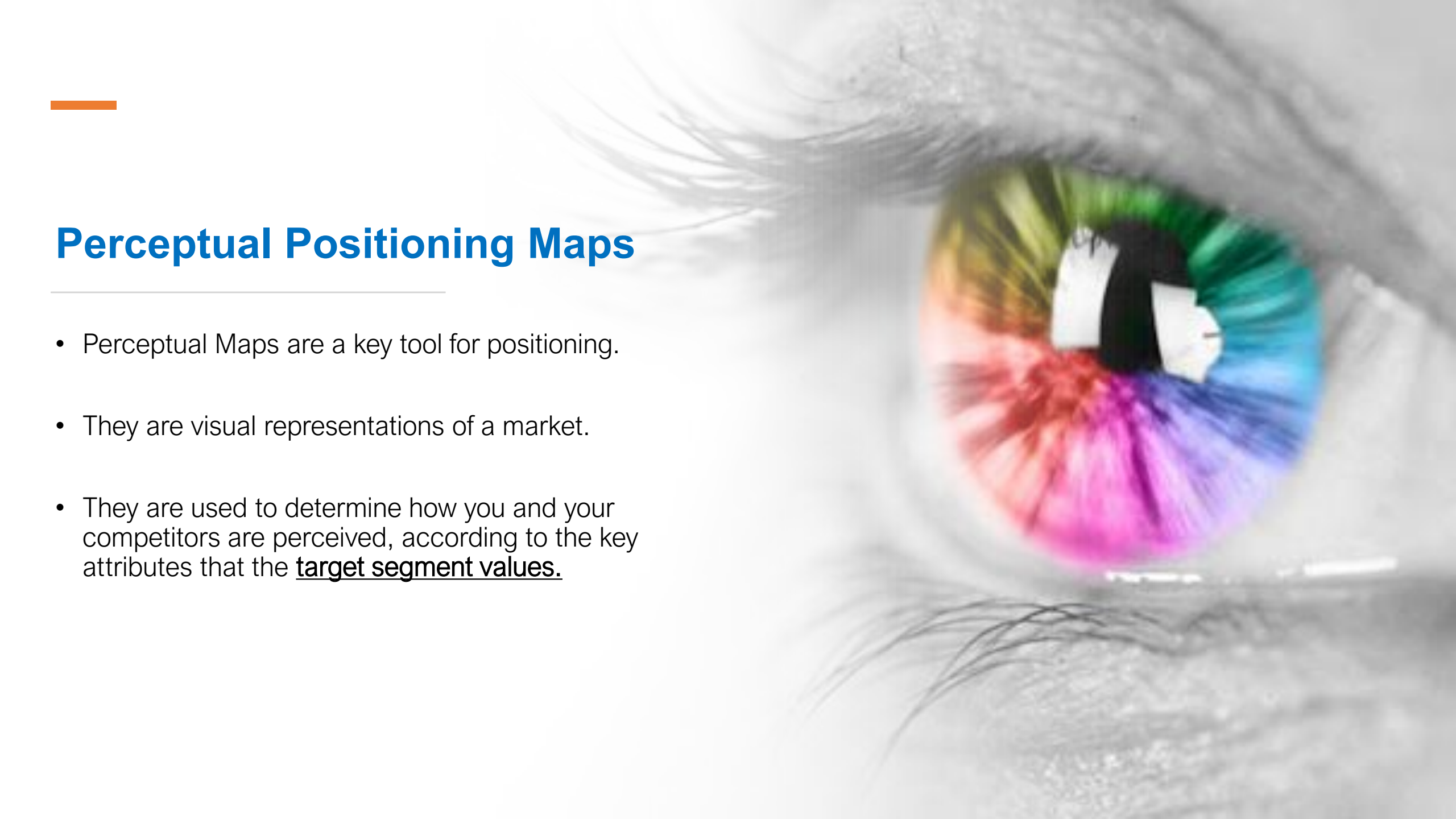
A **product position** is "the way a product or brand is defined by consumers on important attributes – the place it occupies in consumers' minds relative to competing products"

Kotler et al. (2020, p. 215)

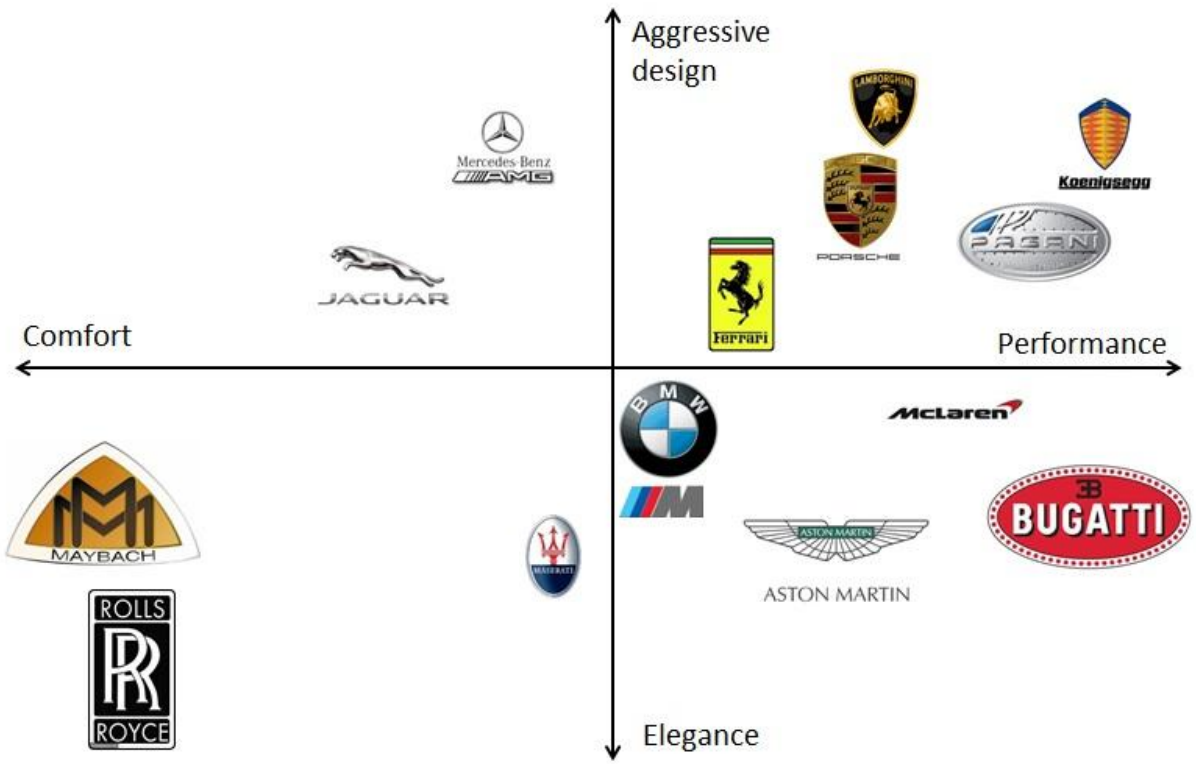
Marketers do not want to leave their products' positions to chance. They must plan positions that will give their products the greatest advantage in selected target markets

Perceptual Positioning Maps

- Perceptual Maps are a key tool for positioning.
- They are visual representations of a market.
- They are used to determine how you and your competitors are perceived, according to the key attributes that the target segment values.



POSITIONING MAP ON THE LUXURY CAR MARKET



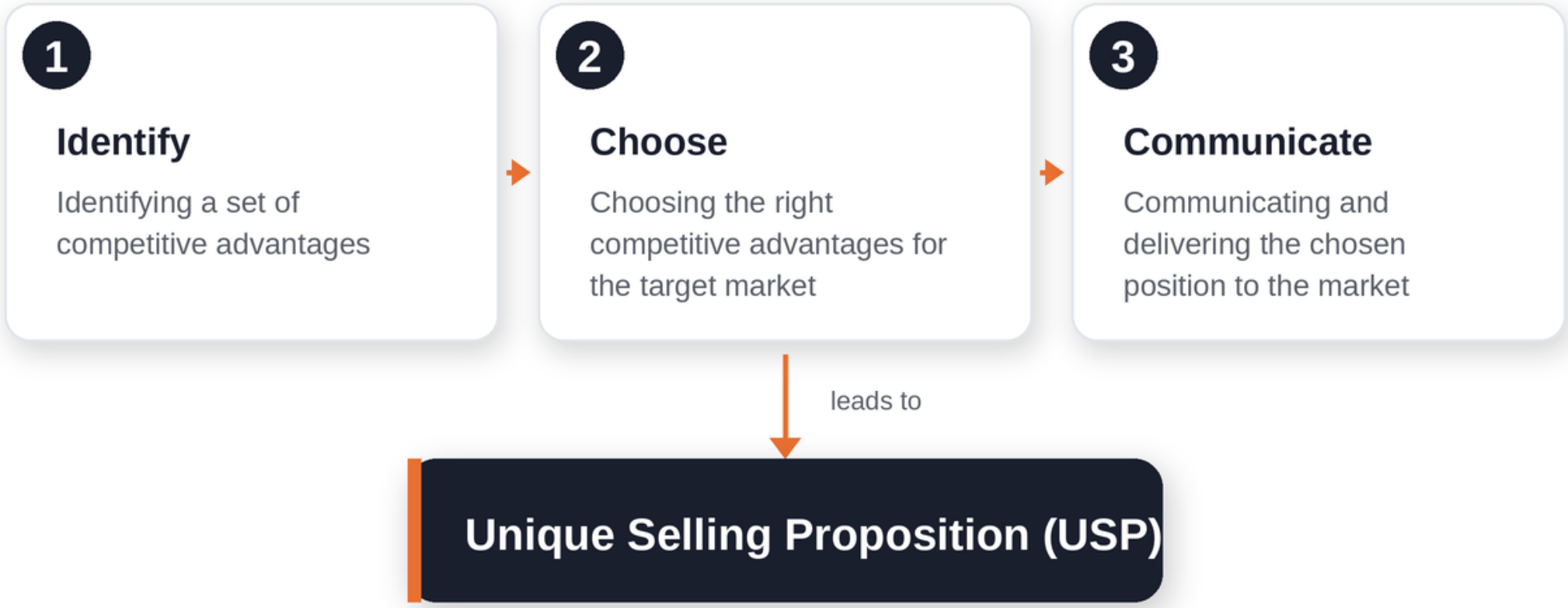
Where would you put Bentley?

Perceptual Positioning Maps

- Perceptual maps therefore make explicit the link between the Customer Analysis and the Competitor Analysis.
- Customer values determine the labels of the axes.
- These need to be a continuum.
- Competitors are positioned accordingly.



Positioning Strategy

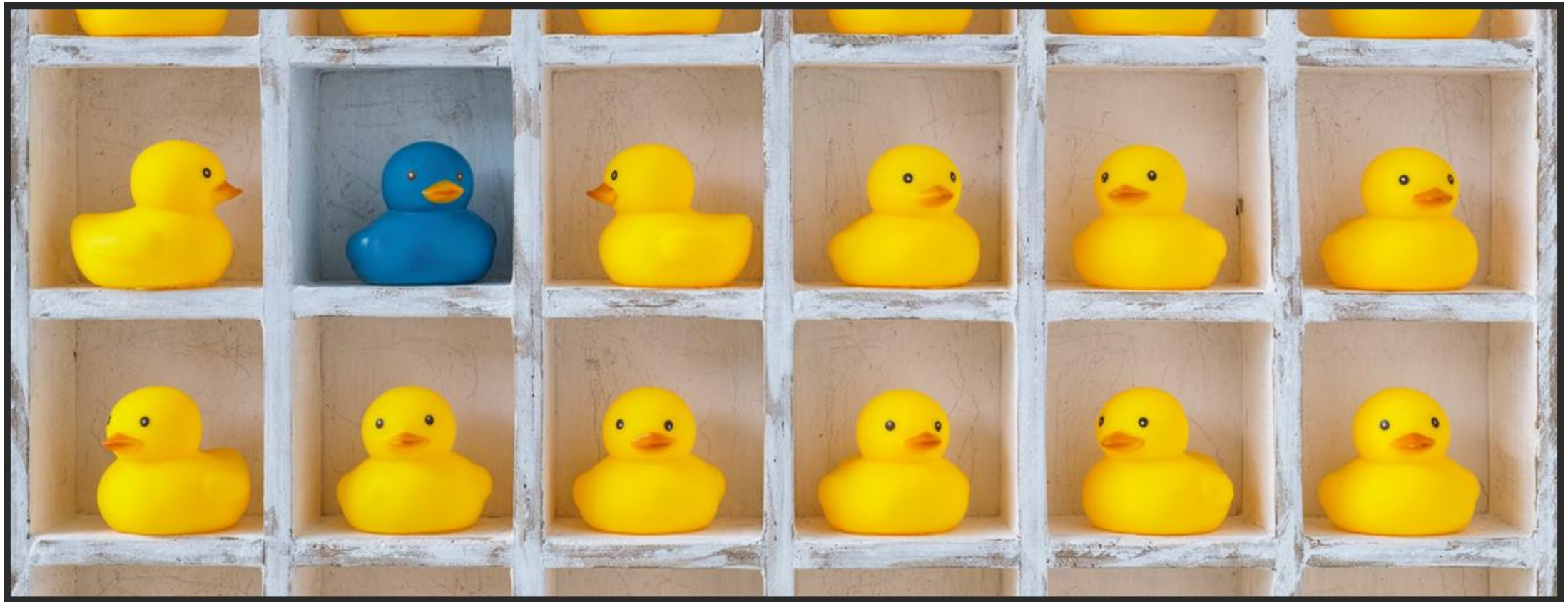


Source: Kotler et al. (2020)



Positioning

Step 1: Identifying a set of competitive advantages



Positioning

Step 2: Choosing the right competitive advantages for the target market



Positioning

Step 3: Communicating and delivering the chosen position to the market

It is all about making a difference…





The Value Proposition

- The full positioning of a brand, the full mix of benefits on which a brand is differentiated and positioned.

> ***"Why should I buy your brand?"***

Model value proposition

> For (target segment n), the (product/ brand name) is a (product category) that unlike (competitor targets), (statement of primary differentiation).

> **EXAMPLE**
>
> *For World Wide Web users who enjoy books, Amazon.com is a retail bookseller that, unlike traditional book retailers, provides a combination of extraordinary convenience, low prices, and comprehensive selection.*

Source: Kotler et al. (2020)

Learning Outcomes - Recap

Now, you should be familiar with the following concepts:

- Marketing strategy
- Segmentation
- Targeting
- Positioning
- Customer (buyer) persona

Seminar 3:

Targeting & Positioning

Next week's lecture…

Customer engagement & Social media